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St. Joseph's College of Arts & Science(Autonomous)

St. Joseph's College Road, Cuddalore–607001

B.COM DEGREE EXAMINATION – APRIL 2021

CM511Q – COST ACCOUNTING

Time : 3 hrs **Max Marks :75**

SECTION – A (10X2=20)

Answer **ALL** the Questions

1. What is cost accounting?
2. Define Labour Turnover.
3. What do you mean by Economic Batch Quantity?
4. What is By-product?
5. What is contract costing?
6. Calculate prime cost from the following information:

	Rs.
Opening stock of raw material	- 12,500
Purchased raw material	- 75,000
Expenses incurred on raw material	- 5,000
Closing stock of raw material	- 22,500
Wages	- 47,600
Direct expenses	- 23,400

7. From the following data. calculate the total wages of a workers under under Halsey premium plan

   Hourly rate - Rs.2
   Standard time - 16 hours
   Time taken - 12 hours

8. Determine the price to be charged on job from the following:
   Total cost of the job - Rs.54,000
   Profit - 10% on sales

9. Find the number of units of abnormal gain the following:
   Input of materials - 500 units
   Normal loss - 15%
   Output - 450 units

10. Calculate the profit which can be credited to profit and loss account:

	Rs.
Notional profit	79,000
Work certified	4,00,000
Cash received	3,00,000
Contract price	6,00,000

SECTION B (5x5=25)

Answer any FIVE questions.

11. State any five differences between cost accounting and financial accounting.

12. Explain the features of job costing.

13. You are required to compile a statement showing cost and profit from the information given below.

Particulars	Rs.
Material Purchased	2,00,000
Wages	1,00,000
Direct expenses	20,000
Opening stock of materials	40,000
Closing stock of materials	60,000

Factory overhead is absorbed at 20% on wages. Administration overhead is 25% on the works cost. Selling and distribution overhead is 20% on the cost of production. Profit is 20% on sales.

14. From the following particulars calculate
    a) Maximum stock level
    b) Minimum stock level
    c) Reorder level
    d) Average stock level

Minimum consumption	- 240 unit day
Maximum consumption	- 420 per day
Normal consumption	- 300 per day
Reorder quantity	- 3,600 unit per day
Reorder period	- 10 to 15 days
Normal Reorder period	- 12 days

15. From the following particulars, calculate the earnings of different workers under Taylor's differential piece rate system.

    Standard time per hour : 6 minutes
    Normal rate : Rs.5 per hour
    Differential piece rates:
    80% of piece rate below the standard
    120% of piece rate at or above the standard

    In a day of 8 hours, the production by different workers is as under.
    A- 70 units; B- 80 units; C- 90 units;

16. From the following details, you are required to calculate the cost of Job No.215 and find out the price to give a profit of 25% on total cost.

    Materials Rs.2000
    Wages: Dept. A - 30 hours @ Rs.3 per hour
    B - 20 hours @ Rs.2 per hour
    C - 10 hours @ Rs.5 per hour

    Overhead expenses for these three departments were estimated as follows:

Variable Overheads

Dept. A - Rs. 1,000 for 1,000 labour hours
B - Rs. 6,000 for 3,000 labour hours
C - Rs. 2,000 for 400 labour hours

Fixed Overheads estimated at Rs.10,000 for 5000 normal working hours.

17. In manufacturing a product, 1,000 kgs of raw materials at Rs.8 per kg were supplied to process 'X'. Other expenses of the process were as follows:

Labour cost - Rs.2,000
Production expenses - Rs.1,000

Normal loss in the process has been estimated at 10% of the input and it could be sold at Rs.2 per kg. The actual output in this process was 880 kgs which was transferred to process 'Y'.

Prepare process 'X' account and abnormal loss account.

18. The following is the information relating to contract No.123.

	Rs
Contract price	6, 00,000
Wages	1, 64,000
General expenses	8,600
Raw materials	1, 20,000
Plant	20,000

As on date, cash received was Rs.2,40,000 being 80% of work certified. The value of materials remaining at side was Rs.10,000. Depreciate plant by 10%. Prepare contract account showing profit to be credited to P & L a/c.

SECTION C- (3x10=30)

Answer any THREE questions

19. The accounts of machine manufacturing company disclose the following information for six months ending 31st December 2018.

	Rs.
Materials Used	1,50,000
Direct wages	1,20,000
Factory overheads	30,000
Administive Expenses	15,000

Prepare cost sheet for the half year and calculate the price which the company should quote for the manufacturing of machine requiring materials valued at Rs.1.250 and expenditure in productive wages Rs. 750, so that the price might yield a profit of 20% on the selling price.

20. From the particulars given below write up the stores ledger card:

2018 January 1 Opening stock 1,000 units at Rs.26 each
5 Purchased 500 unites at Rs.24.50 each
7 Issued 750 units
10 Purchased 1,500 units at Rs.24 each
12 Issued 1,000 units
15 Purchased 1,100 units at Rs.25 each
17 Issued 500 units
18 Issued 300 units

25 Purchased 1,500 units at Rs.26 each
29 Issued 1,500 units

Adopt the FIFO method of issue and ascertain the value of the closing stock.

21. State the classification of cost.

22. Product X is obtained after it passes through three distinct processes. You are required to prepare Process Accounts from the following information:

	Total	Process I	Process II	Process III
	Rs.	Rs.	Rs.	Rs.
Material	15,084	5,200	3,960	5,924
Direct wages	18,000	4,000	6,000	8,000
Production overheads	18,000			

1,000 units @ Rs. 6 per unit were introduced in process 1. Production overheads are to be distributed as 100% on direct wages

Actual output	Unit	Normal Loss	Value of scrap per unit Rs.
Process I	950	5%	4
Process II	840	10%	8
Process III	750	15%	10

23. Raja Sekhar building contractors began to trade on 01.01.2017. The following was the expenditure on a contract of Rs. 12,00,000

	Rs.
Material issued from stores	3,00,000
Material purchased for the contract	80,000
Plant installed paid	1,40,000
Wages paid	4,80,000
Direct expenses paid	44,000
Establishment expenses	20,000
Direct expenses accrued due 31.12.2017	6,000
Wages accrued due on 31.12.2017	4,000

Of the plant and materials charged to the contract, plant which cost. Rs.10,000 and materials costing Rs. 8,000 were lost. Some part of the materials costing Rs.5,000 were sold at a profit of Rs.1,000. On 31st Dec.2017 plant which cost Rs.4,000 was returned to stores and plant which cost Rs.3,000 was transferred to some other contract.

The work certified was Rs.9,60,000 and 80% of the same was received in cash. The cost of work done but uncertified was Rs.6,000. Charge depreciation on plant at 10% p.a.

You are required to prepare the contract account of the year ended 31st Dec. 2017.

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